

are not meant to “beat the market” but rather allow a do-it-yourself investor to manage declines in the market easily and at low cost.

A Simple Risk Management Model That Works

Simple moving average (MA) rules and time series momentum (TMOM) rules can protect capital for buy-and-hold investors during drawdown events. When we run the horserace between MA and TMOM, there is no clear winner. However, the empirical evidence shows that combining simple moving average rules and time series momentum rules enhances risk-adjusted performance, on average, of a portfolio. We call this system “robust,” since it performs without failure under a wide range of conditions, environments, and time periods. Of course, in the context of financial markets, there is no such thing as “the ability to perform without failure,” but the robust system does diversify risk management across two trading rules and provides more protection against benchmark drawdowns than all other systems we have analyzed. Let's explore this risk management technique in detail.

Simple Moving Average Rules (MA)

The simple moving average rule (MA) is, well, simple. The rule is as follows: You are allowed to buy an asset once the current price exceeds the simple moving average over the past N months; otherwise, do not buy the asset and stay in alternative assets (T-bills or cash). The N -month moving average is the simple equally weighted average for the past N months' closing prices. This well-known measure can be measured more formally as follows:

$$MA_t(N) = \frac{x_t + x_{t-1} + \cdots + x_{t-N+1}}{N}$$

where

x_t	=	price at month t
N	=	number of periods in the moving average